Meeting Schedule

01 15 min Presentation

02 15 min Discussion

03 10 min 1v1 Meeting

From Bali Beaches to Hakuba Slopes:

Where Should the Next Investment Go?

For: ScubaCrew + SnowFox

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IBSS International Business School Suzhou at XJTLU 西浦国际商学院

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01 Introduction

Introduction

1. Strategic Investment Dilemma

Context

- Entails high-capital, long-horizon investment
- Lack of comparative frameworks: tropical vs. alpine models

Investment Landscape

- Bali → income-driven, high short-term yield
- Hakuba → equity-oriented, long-term appreciation
- Trade-off: liquidity vs. asset permanence

Introduction

2. Project Scope & Analytical Focus

- **Objective**
  - Assess feasibility: Bali vs. Hakuba
  - Link operations to long-term positioning

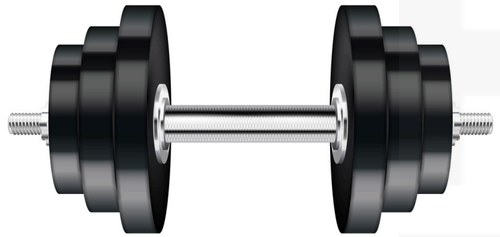
- **Key Dimensions**
  - Return structure: short- vs. long-term
  - Legal & ownership models
  - Cultural & community alignment
  - Macroeconomic & tourism trends

Introduction

3. Recommendation Overview

This strategy is grounded in Barbell investment principles:

- **60% allocation to Bali**
  - High cash yield
  - Shorter payback cycle
- **40% allocation to Hakuba**
  - Long-term equity growth
  - Freehold ownership, strategic positioning



02 SWOT Analysis

Strengths

S

- **Powerful Brand Appeal:** Renowned for cultural and spiritual attractions.
- **High Visitor Numbers:** Consistently draws millions of tourists.

Weaknesses

W

- **Overtourism Strain:** Decades of dependency.
- **Infrastructure Deficiencies:** Systematic Problem like traffic, waste, and water systems.

Opportunities

O

- **Shift to Sustainable Tourism:** Position to attract a higher-value market.
- **Green Government Policies:** Leverage new tourist levies and plastic bans for branding.

Threats

T

- **Environmental Degradation:** Plastic waste and dying reefs harm the core product.
- **Damage to Tourism Products:** Viability of diving and surfing is at risk.

Strengths

S

- **Multi-Season Potential:** Developing both winter and summer tourism products.
- **Olympic Legacy:** Strong brand heritage from the 1998 Nagano Winter Olympics.

Weaknesses

W

- **Climate Change Vulnerability:** Unreliable snowfall threatens the core winter season.
- **Infrastructure Stress:** Rapid visitor expansion is straining local infrastructure.

Opportunities

O

- **Alternative to Niseko:** Can be branded as an affordable, eco-friendly option.
- **"Green Brand" Image:** Local emphasis on sustainability appeals to value-conscious travelers.

Threats

T

- **Climate Change Shutdowns:** Rising temperatures are an existential threat to the ski economy.
- **Unchecked Growth:** Poses risks of cultural loss and eroding community support.

Export to Sheets

Strategic Implications: Reactive vs. Proactive

- **Bali: A Reactive Strategy of Remediation**
  - The primary challenge is to fix existing problems.
  - Investment must focus on fixing environmental and infrastructural damage caused by past success.



- **Hakuba: A Proactive Strategy of Pre-emption**
  - The primary opportunity is to prevent future problems.
  - Investment can be strategically guided to manage growth sustainably, avoiding the issues that now plague Bali and Niseko.

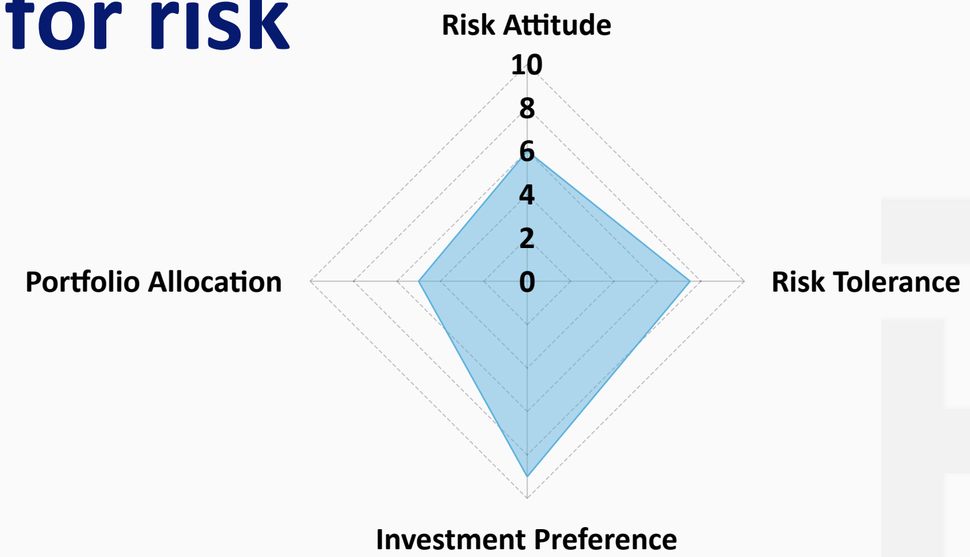


Key Takeaway: For both destinations, sustainability is now a core pillar for survival and growth, shaping all future investment decisions.

03 Strategy

Risk Profile:
Above-average tolerance for risk

- Willing to tolerate short-term losses for potential long-term gains.
- Seeks higher return opportunities without avoiding risk entirely.



The Matching Strategy：

Barbell Strategy

Balances risk by allocating investments to both high-risk, high-return assets and low-risk, stable-return assets.

Dual-Location Strategy

- Balances cash flow with long-term capital growth
- Reduces geographical, legal, and seasonal risks
- Supports both short-term operations and long-term value creation

High-Risk Bali → Bali faces policy constraints on foreign investment, frequent natural disasters, and a heavy reliance on volatile tourism revenues.

Stable Income Hakuba → Hakuba benefits from clear land ownership rights, consistent government policies, and the yen's safe-haven status.

· Bali—Allows allocating 60% to high-risk assets.
· Hakuba—Uses 40% stable assets to stable-income assets.



Aggressive Bali **Conservative Hakuba**

04 Strategic Plan

Bali: High-Yield, Fast Payback Engine

- Mature tourism market, hotspots like Canggu
- Rental returns: 10–15%; occupancy > 85%
- $500K builds 3–4 villas, earning $50–60K annually
- Payback in less than 6 years, then all profit

Why Investment Ceiling in Bali is 60%?

- Leasehold land (25 years) causes ownership erosion
- Regulatory uncertainty from Omnibus Law enforcement (2023)
- Environmental and reputational risks from overtourism
  (e.g., water scarcity, waste overload, coastal damage, traffic and air pollution)

Hakuba: Platform for Long-Term Capital Growth

- Freehold ownership, no restrictions for foreigners
- Land appreciation > 30% from 2023 to 2024
- Currently seasonal revenue, but year-round expansion possible
- National policies support regional tourism

Policy Support for Hakuba’s Growth

- Japan’s 2030 target: 60 million inbound tourists
- Incentives: green infrastructure & rural revitalization
- Expansion into glamping, hiking, wellness tourism by encouraging cooperation with existing brands

Investment Comparison: Bali vs Hakuba

Item	Bali	Hakuba
Ownership	Leasehold (25 years)	Freehold
ROI	10–15%	Lower at first, but will grow efficiently
Payback	< 6 years	Long-term
Policy	Uncertain	Strong Support

- Two markets with distinct cycles reduce concentration risk
- Legal structure differences help reduce policy risk
- Combination of cash flow and equity growth

Next Steps

1. Conducting site research in Hakuba is recommended
2. Implement internal reinvestment in Bali for new sites
3. Pilot year-round operations (e.g., establish partnership with onsen, include hiking activities)
4. Check the capital return to the ensure the ability to go on

Thanks for listening!

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